Manchester United

Financial analysis memo | FY2024-FY2026 actuals; FY2027-FY2031 scenarios | £m unless stated

Operating performance improved, but investment cash needs and debt maturities constrain flexibility. The DCF is an illustrative sensitivity, with no fair-value conclusion.

The project links reported accounts to monthly investment, funding and valuation scenarios. Its strongest use is explaining how recurring costs, transfer instalments and financing choices affect cash. It cannot establish the company's internal spending capacity.

1. Financial performance

£m; evidence class	FY2024	FY2025	FY2026
Revenue - F	661.8	666.5	677.6
Adjusted EBITDA - F	147.7	182.8	216.4
Operating cash flow - F	85.7	72.7	178.7
Operations plus investing cash - D(F)	-85.5	-202.0	-50.9
Borrowings less cash; excl. leases - D(F)	473.1	550.9	621.7

Revenue increased only modestly across the period, while adjusted EBITDA improved more substantially. FY2026 still recorded a £43.0m net loss. Adjusted EBITDA is the company's reconciled non-IFRS measure; it is neither net income nor cash available for investment.

FY2026 operating cash of £178.7m was insufficient to cover investing outflows: operations plus investing consumed £50.9m. Total intangible purchase cash was £292.3m, which must not be described as a verified player-only figure. Transfer payables of £375.0m and receivables of £67.9m are reported balances, not exact future settlement dates. [F except the cash-flow sum: D(F)]

Evidence: FY2026 Form 20-F - note 4 revenue; notes 5/7 employment; Item 5 adjusted EBITDA reconciliation; statements F7/F11 profit and cash flow; notes 16, 19, 24 and 25 registrations, transfers and debt. FY2024 balance comparatives: FY2025 Form 20-F. The existing source-verification register retains exact cell references.

2. Financial flexibility

Maximum cash-reserve shortfall, D(F,A)	Base	Downside	Upside
Contractual repayment	593.1	1,756.5	60.5
Assumed refinancing	0.0	758.7	0.0

These are peak modelled shortfalls against the selected cash reserve across 60 months, not amounts the company has requested. Contractual repayment leaves a funding gap in every operating case. Rollover removes that gap in Base and Upside; Downside still requires substantial funding or changed operating assumptions. This does not establish covenant or regulatory compliance.

The £400m revolving facility expires in December 2029; the $550m notes and $225m term loan mature in June 2031 (F; note 25). Future refinancing is uncommitted (A). New acquisition fees use cash over time, wages recur, and sale proceeds can arrive after an accounting gain. The relevant output is a range of affordable combinations under stated financing and sale assumptions.

Valuation and conclusion

DCF reference date: 30 September 2026 | All valuation outputs: D(F,E,A), conditional

3. What do the assumptions imply for equity value?

Existing scenario results	Base	Downside	Upside
WACC	10.05%	11.07%	9.30%
Terminal annual FCFF (£m)	38.5	-211.4	141.1
Enterprise value (£m)	424.3	-1,746.6	1,652.5
Unfloored equity residual (£m)	-220.8	-2,673.1	1,078.9
Floored USD / assumed diluted share	0.00	0.00	8.30

These reproduce the existing formulas; they are not price targets. A zero floor conceals a negative residual and does not prove the shares are worthless. Negative perpetual cash flow in Downside signals an unsustainable scenario, rather than a meaningful negative franchise price. Financing stress also limits the feasibility of the operating projections.

Critical exception U01: terminal replacement economics

Base registration amortisation rises from £96.0m in FY2031 to £137.7m at the terminal boundary. The latter equals £153.0m of assumed maintenance purchases less £15.3m of disposed book value. It is imposed by an asset-balance identity, not calculated from remaining cohort lives.

Existing June 2031 cohorts imply £48.6m of next-year runoff before new purchases or sales. Even capitalising all £155.3m of terminal purchase cash on day one over five years gives only £79.7m of combined amortisation. This is an upper diagnostic under the existing life convention, not an alternative forecast. Public disclosures do not establish the recurring investment needed to sustain the selected revenue and sale assumptions.

Three existing reinvestment sensitivities

Maintenance input, FY2031 prices (A)	£75m	£150m	£225m
Terminal FCFF, £m - D(F,E,A)	95.9	38.5	-23.3
Unfloored equity, £m - D(F,E,A)	231.6	-220.8	-708.6

These are selected stress points already in the workbook: half, unchanged and 1.5 times the central maintenance assumption. Lower replacement outlay releases cash; higher outlay consumes it. None is an evidenced sustainable spending level or a confidence bound. All retain the unresolved terminal convention, hold other Base inputs fixed and therefore illustrate sensitivity rather than fix U01.

Recommended interpretation

Keep the integrated financial model and the three operating scenarios. Withdraw any fair-value, stock-mispricing or investment-recommendation conclusion. A cohort-consistent transition is possible under explicit assumptions, but public information cannot verify sustainable renewal costs, useful lives and disposal economics. Do not replace the £137.7m charge with a guessed number.

Final pass: no numerical changes were justified. The 20-sheet workbook and previously verified 240 historical inputs remain unchanged. Targeted statement, cash, debt, FCFF and DCF checks passed; native Microsoft Excel was unavailable. Detailed regulatory proxies and peer context remain supporting analysis, with their existing exceptions.

F verified public fact; **E** market-derived input; **A** selected assumption; **D** calculation, with input classes shown; **U** unsupported. Forecasts are not verified future outcomes.